

INTERNAL AUDIT REPORT

Financial Transaction Audit | Report No. AR-02309

Report ID:	AR-02309
Audit Type:	Financial Transaction Audit
Report Date:	March 12, 2024
Audit Period:	2023-11-11 to 2024-03-09
Lead Auditor:	Tyler Parsons (EMP-29786)
Reviewed By:	Joseph Chambers (EMP-59537)
Primary Vendor Reference:	NorthBridge Supplies LLC (VND-04430)
Subject Employee Reference:	Joshua Anderson (EMP-30091)
Primary Transaction Reference:	TXN-277496
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This financial transaction audit covered the period 2023-11-11 to 2024-03-09 and examined transactions, approvals, and compliance records associated with vendor NorthBridge Supplies LLC (VND-04430) and employee Joshua Anderson (EMP-30091). The audit identified 2 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-277496 (amount 138,327.76 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-002964	MEDIUM	POLICY BREACH	Claim EXP-110287 violates Policy POL-0018 section 4.2: Consulting expenditure capped at \$25,000 per event.
FND-002590	MEDIUM	VENDOR RISK	High-risk vendor TitanPath Holdings Ltd has no compliance record on file. Payment of \$474,212 released without compliance clearance.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-002346	EXPENSE CLAIM	EVD-EST-5076	0.59
EVI-016450	AUDIT REPORT	EVD-XJG-8380	0.61
EVI-016681	TRANSACTION RECORD	EVD-NSS-0448	0.88

5. RECOMMENDATIONS

- Implement receipt-matching automation for expense claims above the policy threshold.
- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Escalate repeat policy violations to the Risk Committee for disciplinary review.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Tyler Parsons	EMP-29786	2024-03-12
Reviewing Officer	Joseph Chambers	EMP-59537	2024-03-14